

CATEGORY	MEANING	SUITABLE FOR THOSE WITH
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Floating Rate Funds	These are bond funds that do not give fixed returns but invest in assets with floating return instruments. The instrument returns keeps on changing as per the market.	• Emergency Fund
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SHORT-TERM FUNDS

Money market funds	These invest in bonds and commercial papers, that mature in less than 1 year. They keep on re-investing assets that mature.	• Time Horizon: Less than 2 years • Emergency funds
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Liquid Funds	They invest in bonds and commercial papers that mature in less than 91 days.	• Short-term investment • Better than FDs
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Overnight Funds	They invest in bonds and securities that invest each day. For instance, banks borrow money to meet overnight fund needs. These have the lowest returns.	• Complicated • Better if ignored by individuals
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